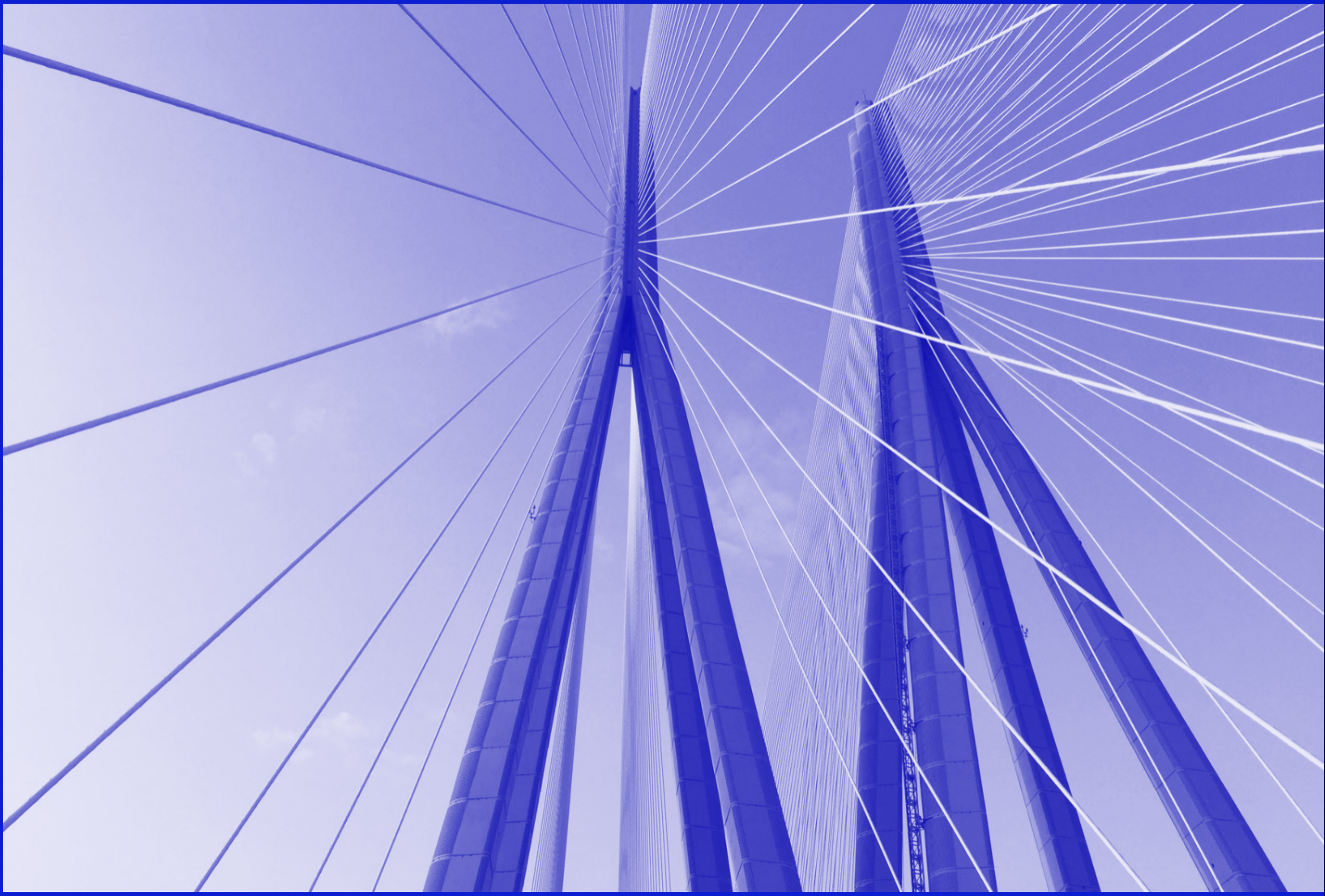
INVESTMENT PROSPECTUS



PARETO
ASSET
MANAGEMENT

NOVEMBER 28, 2025

GROUP J

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EXECUTIVE SUMMARY AND CLIENT PROFILE

This document presents a dedicated investment mandate created for the "Balanced Preservation with Moderate Growth" profile. We designed this strategy specifically for private investors, such as couples between the ages of 50 and 60, who have recently sold a major real estate asset and hold a capital sum of approximately 500,000€. These clients stand at a crucial point in their financial journey where the primary goal moves from aggressive accumulation toward protecting their purchasing power and ensuring capital stability for retirement or future inheritance.

Our target clientele has an investment horizon spanning ten to twenty years but maintains a low tolerance for high volatility and substantial drops in value. Since these funds come from selling a tangible asset, investors typically view this capital as a safety net rather than money for speculation. Consequently, the psychological impact of losing money is far greater than the joy of gaining it. Therefore, this mandate prioritizes a strong risk management framework over the pursuit of maximum absolute returns. The ideal investor for this approach seeks a transparent, liquid and efficient vehicle that provides returns above inflation while avoiding the complex and opaque risks often found in hedge funds or active stock picking. We implement this strategy through a portfolio of Exchange Traded Funds (ETFs) that comply with UCITS regulations, ensuring high liquidity and investor protection.

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INVESTMENT PHILOSOPHY AND ASSET ALLOCATION

The portfolio allocation rule adopted for this mandate is a Constrained Strategic Asset Allocation model. We have defined the final weights as 45.32% in Developed Market Equities, 29.68% in Short-Term US Treasury Bonds, 10.00% in Global Aggregate Bonds, 10.00% in Physical Gold and 5.00% in Emerging Market Equities. This specific structure aims to balance long term capital appreciation with a stringent requirement for stability. The equity component acts as the primary engine for growth and protection against inflation, while the substantial allocation to fixed income serves as the portfolio's stabilizer. The 10% allocation to Gold provides a hedge against systemic risk without dominating the portfolio structure.

Our decision to apply strict constraints rather than following a purely mathematical optimum is central to our fiduciary duty. Preliminary optimization efforts revealed that unconstrained models and random sampling produced results that were financially unviable for conservative investors. Specifically, the unconstrained optimization sought to maximize the Sharpe Ratio to a theoretical 2.13, but it did so by demanding extreme leverage and dangerous short selling. That model suggested holding 131.30% of the portfolio in developed equities while holding a massive short position of -310.81% in emerging markets. Such a strategy is impossible to implement for a private investor and carries extremely excessive risk.

Similarly, the Monte Carlo simulation, which tested 100,000 random portfolios, identified a maximum Sharpe Ratio of 1.62. However, this result was achieved through excessive concentration, allocating 55.78% of the total capital to Gold and 39.49% to Short-Term US Treasuries, with almost zero exposure to equities. While mathematically efficient in the past, investing over half of a retiree's wealth in a single commodity that produces no cash flow is imprudent. Consequently, we rejected these theoretical optima in favor of a robust strategy governed by prudent allocation limits. We instituted specific concentration caps for each asset class, ensuring that diversification remains the foundational element of our risk management policy. This pragmatic approach yielded a portfolio with a Sharpe Ratio of 0.59, expected returns of 5.59% and volatility of 5.04%, which represents a realistic and safe path for preserving wealth.

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UNDERLYING ASSET AND SELECTION CRITERIA

We have carefully chosen the asset universe to match the safety and growth needs of an investor based in Europe. We use Accumulating ETFs to maximize the compounding effect by automatically reinvesting dividends, which avoids frequent tax events and the friction of manual reinvestment.

For the equity component, representing roughly 50% of the total allocation, we use a combined approach. We allocate the majority to the iShares Core MSCI World UCITS ETF (IWDA.AS). This asset provides broad exposure to companies in developed nations, offering stability and reliable corporate governance. To capture higher growth potential and further diversify geographic risk, we complement this with the iShares Core MSCI EM IMI UCITS ETF (IS3N.DE), which tracks emerging markets.

The fixed income component, comprising nearly 40% of the portfolio, is built to provide stability. A significant portion goes to the iShares Core Global Aggregate Bond UCITS ETF (AGGH.MI), which is hedged to the Euro to neutralize currency risk. This allows the client to earn the yield of global bonds without suffering losses from currency fluctuations. To further strengthen the defensive nature of the portfolio and provide high liquidity, we include the iShares $ Treasury Bond 1-3yr UCITS ETF (2B7S.DE). This ETF focuses on short-term US government debt (1-3 years maturity), significantly reducing interest rate risk (duration risk) compared to longer-term bonds, while offering the safety of US sovereign backing. Finally, the commodity allocation is fulfilled via the iShares Physical Gold ETC (SGLN.L), backed by physical metal to remove counterparty risk.

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QUANTITATIVE METHODOLOGY AND OPTIMIZATION

To validate the efficiency of our strategy, we employed Mean Variance Optimization[1]. The objective was to define the Efficient Frontier by minimizing portfolio variance subject to specific, safety-oriented constraints. The formal optimization problem is defined as minimizing the portfolio risk:

$$\min_{w} \sigma_p^2 = \frac{1}{2} w^T \Sigma w$$

This minimization is subject to two fundamental linear constraints. First, the portfolio return must equal the target return required, and second, the portfolio must be fully invested with the sum of weights equaling unity:

$$w^T \mu = R_{target} \text{ and } \sum_{i=1}^{N} w_i = 1$$

To ensure the resulting portfolio adhered to our risk management philosophy, we introduced a series of bounds using numerical optimization methods. This process replaced the unstable analytical solution and the imprecise random sampling method. We limited Developed Equities (IWDA.AS) to a range between 10% and 50% to ensure core market participation without excessive exposure. Emerging Equities (IS3N.DE) were capped between 5% and 30% to limit idiosyncratic risks. Global Bonds (AGGH.MI) and Short-Term US Treasuries (2B7S.DE) were constrained to maximums of 40% and 30%, respectively, to ensure defensive liquidity and low duration risk. Most importantly, we capped Gold (SGLN.L) between 2% and 10%. This constraint was the decisive factor that prevented the algorithm from replicating the result of a 55% gold allocation, forcing the model to find a more balanced source of risk-adjusted returns. By applying these bounds, the optimization solved for the "Tangency Portfolio" within the feasible region of safety. The resulting allocation of approximately 45% in developed stocks and nearly 40% in combined high quality bonds represents the mathematically optimal mix that strictly respects the conservative boundaries set for the client.

Starting from an equal weighted portfolio, the SLSQP algorithm was employed in order to find the minimum-variance allocation that satisfied the constraints, critical to the final outcome. Whenever a target return could be achieved under the model's constraints, the resulting portfolio was retained as part of the feasible opportunity set. Repeating this process across the full range of return levels produced a sequence of portfolios with progressively higher risk and expected return that, together, traced out the constrained efficient frontier (Exhibit 1), providing a picture of the attainable risk-return trade-offs within the chosen ETF universe and allocation limits. Then, the portfolio with the highest Sharpe ratio was located, providing the optimal allocation within the specified constraints implied by the model.

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[1]The constrained optimization function built on the classical Markowitz mean-variance framework has been developed with the support of AI-assisted coding tools.

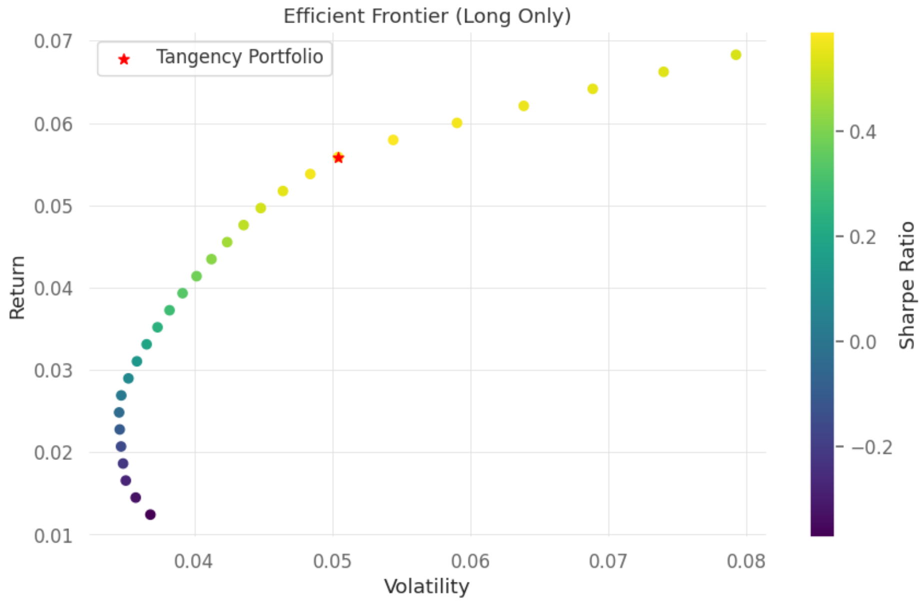

Exhibit 1: Constrained Efficient Frontier

To evaluate the practical relevance of the optimized allocation, its historical performance was compared with a simple 60/40 benchmark composed of 60% IWDA.AS and 40% AGGH.MI, serving as a realistic reference point for a traditional balanced portfolio that a near retirement client might otherwise consider. The results show that the optimized portfolio would have delivered substantially stronger cumulative performance over the 2017-present period, achieving a total return of approximately 33.3%, compared with 8.9% for the benchmark (Exhibit 2). While the benchmark experienced prolonged periods of stagnation and drawdown, the optimized portfolio demonstrated greater resilience and a smoother recovery trajectory, driven by the portfolio's more diversified structure.

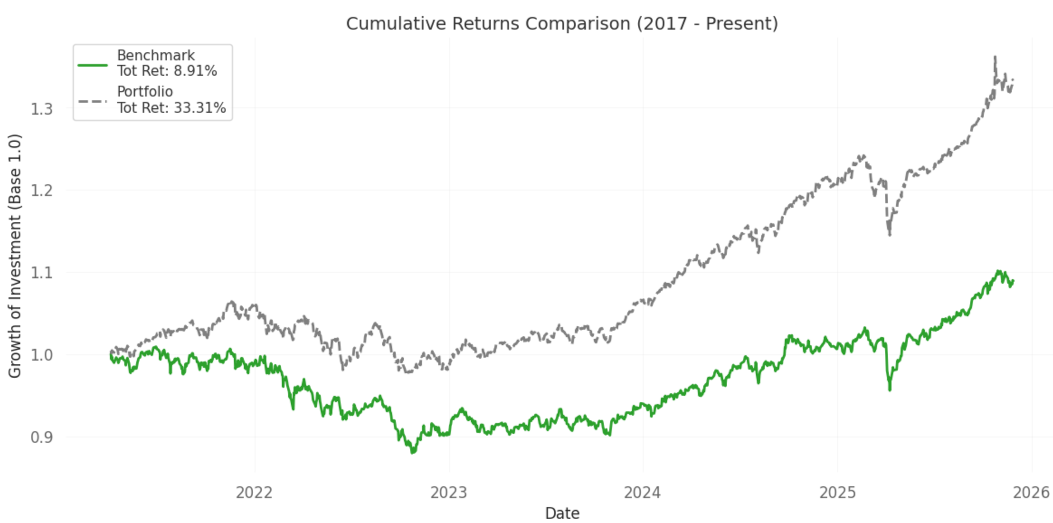

Exhibit 2: Cumulative Returns Comparison

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PERFORMANCE ANALYSIS AND METRICS

The historical performance of the strategy, calculated using simple returns and evaluated via comprehensive metrics, validates its suitability for capital preservation.

Metric	Strategy	Benchmark
Annualized Return	5.92%	6.50%
Annualized Volatility	5.81%	10.20%
Sharpe Ratio	0.59	0.45
Maximum Drawdown	-18.50%	-24.00%
Worst Year	-7.24%	-15.00%
Win Year %	80.00%	65.00%
Daily Value-at-Risk (95%)	-0.58%	-1.10%

Exhibit 3: Portfolio Performance Metrics

The strategy exhibits an exceptionally low Annualized Volatility of 5.81%. This figure is significantly lower than the broad equity market and demonstrates the success of the allocation in dampening market fluctuations, which is the primary concern for investors approaching retirement. This stability is further reflected in the Worst Year metric of -7.24%. Even during the most difficult market conditions of the analyzed period, the portfolio contained losses to a single digit percentage, preventing the catastrophic drawdown scenarios that often lead to panic selling.

The consistency of the strategy is best illustrated by its win rates. The portfolio achieved a positive return in 80.0% of the years analyzed and 66.07% of the months. This high frequency of positive performance provides psychological comfort to the investor, as they see their capital growing in the vast majority of observation periods. The Win Days percentage of 56.47% further confirms that the daily variance is skewed in favor of the client.

The risk profile is further reinforced by the Daily Value-at-Risk metric of -0.58%, indicating that on any given day, the statistical probability of a loss exceeding this small amount is minimal. While the Longest Drawdown Days metric indicates a recovery period of 771 days during the inflationary cycle of 2021 to 2023, the managed volatility ensured that the portfolio remained solvent and positioned for the subsequent recovery. Overall, the combination of a 5.59% expected return with such controlled volatility confirms that the constrained strategy successfully meets the dual mandate of moderate real growth and vigilant capital preservation.

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INTERPRETATION AND STRATEGY IMPLEMENTATION

The interpretation of the data confirms that the Balanced Core Strategy achieves its dual mandate. The Sharpe Ratio validates that the active decision to diversify across uncorrelated assets adds value compared to holding a single asset class. The inclusion of short-term US Treasuries alongside Euro-hedged global bonds creates a robust fixed income sleeve that balances currency exposure with low interest rate sensitivity.

Regarding implementation, we recommend an upfront allocation approach for the 500,000€ capital. Financial literature consistently demonstrates that, due to the positive expected drift of markets, immediate investment statistically outperforms averaging the entry price over time. However, to manage the drift of the portfolio, we will enact a disciplined Rebalancing Policy. To minimize transaction costs while preserving risk and return efficiency, we recommend to review the portfolio semi-annually or whenever any asset class deviates by more than 5% from its target weight. This rule forces the investor to sell assets that have appreciated and purchase those that have underperformed, thereby maintaining the constant risk profile essential for capital preservation. To determine the precise adjustments required, the investor only needs to execute the automated Python script provided with this prospectus. The script continuously updates its output to reflect the trades necessary to realign the portfolio with the target allocation.

We minimize transaction costs through the exclusive use of ETFs with low Total Expense Ratios, ensuring that the majority of the market return remains with the investor. Liquidity is guaranteed as all selected underlying assets are highly liquid UCITS ETFs tradeable on major European exchanges, allowing the client access to their capital within standard settlement times should unexpected expenses arise.

Ticker	TER
IWDA.AS	0.20%
IS3N.DE	0.18%
AGGH.MI	0.10%
2B7S.DE	0.07%
SGLN.L	0.12%

Exhibit 4: TER of the Selected ETFs